AtliQ Hardware Global Performance Briefing

Unpacking the Growth Paradox: Revenue scale vs. Profitability leaks.

Based on consolidated global datasets (2018–2021 Actuals, 2022 Est).
System data refreshed monthly.

Top-Line Success

Net Sales

$823.85M

(Massive YTD volume)

Gross Margin

36.49%

(Healthy product economics)

Bottom-Line Reality

Net Profit %

-6.63%

(Critical area of concern)

Net Profit Value

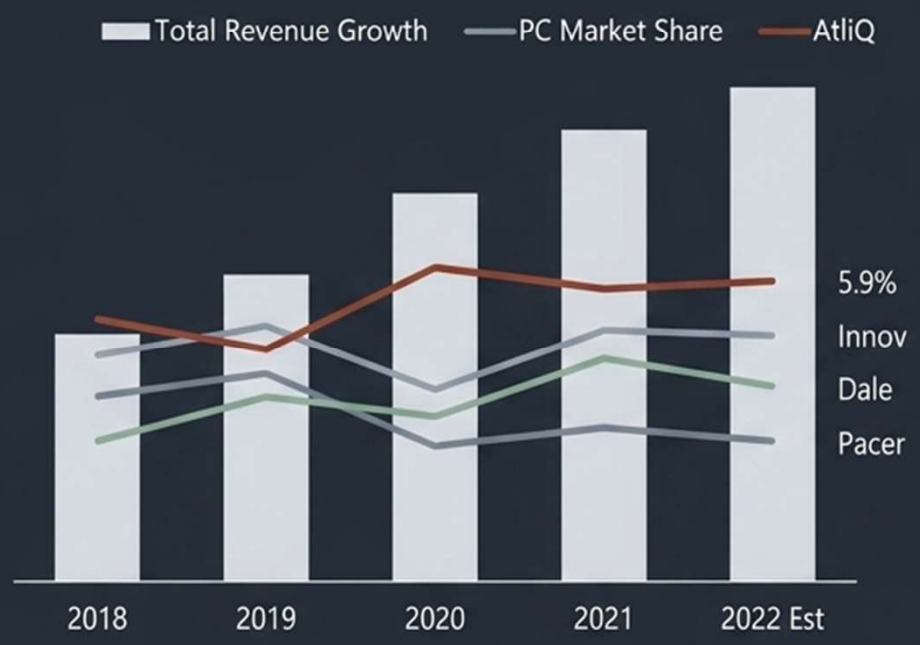
-$54.7M

(Total enterprise loss)

Executive Takeaway: AtliQ has successfully captured massive global market volume and maintains strong unit economics. However, immense operational expenses are driving the global enterprise into unprofitability.

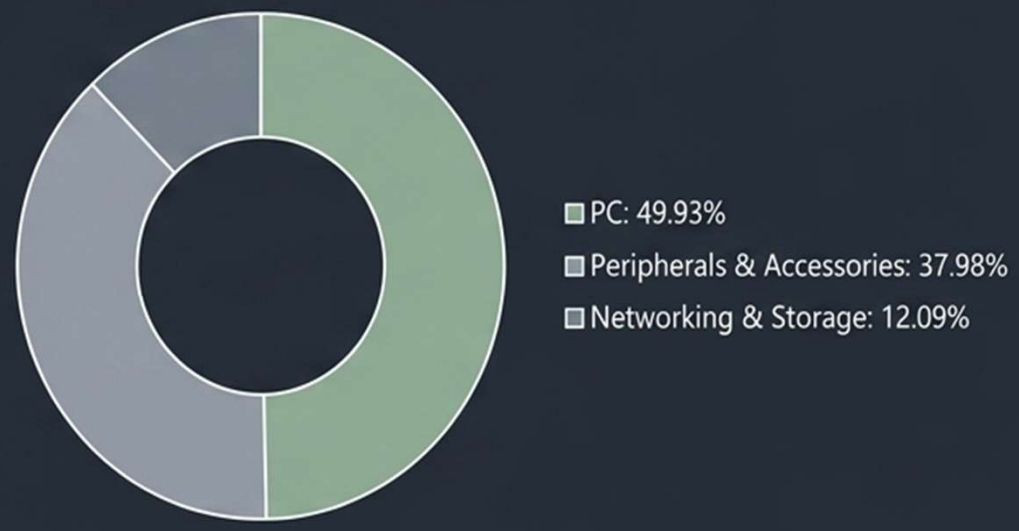
NotebookLM

Solidifying Market Position



Holding steady against major competitors, capturing ~5.9% of the PC market in 2022 despite market volatility.

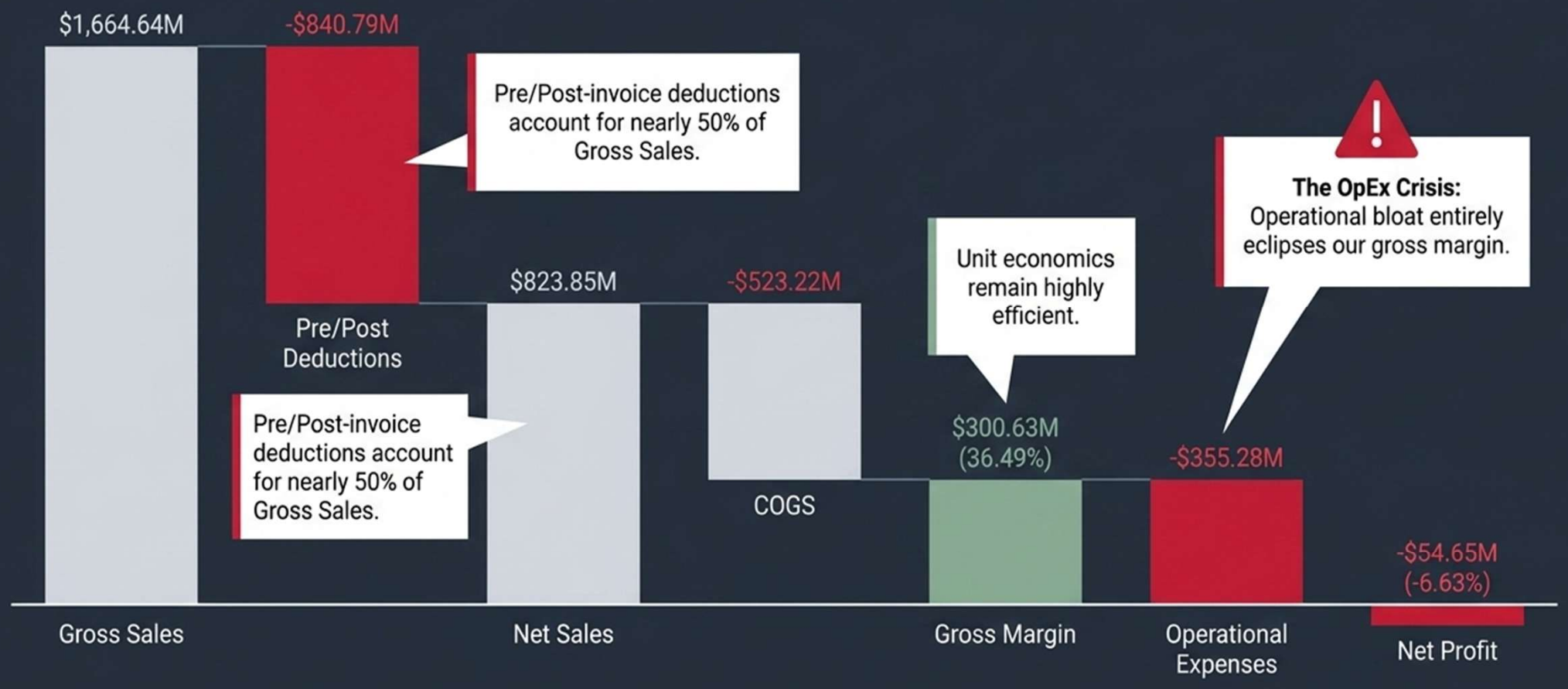
Revenue Drivers



Volume is highly balanced and scaling across retail, direct, and distributor channels.

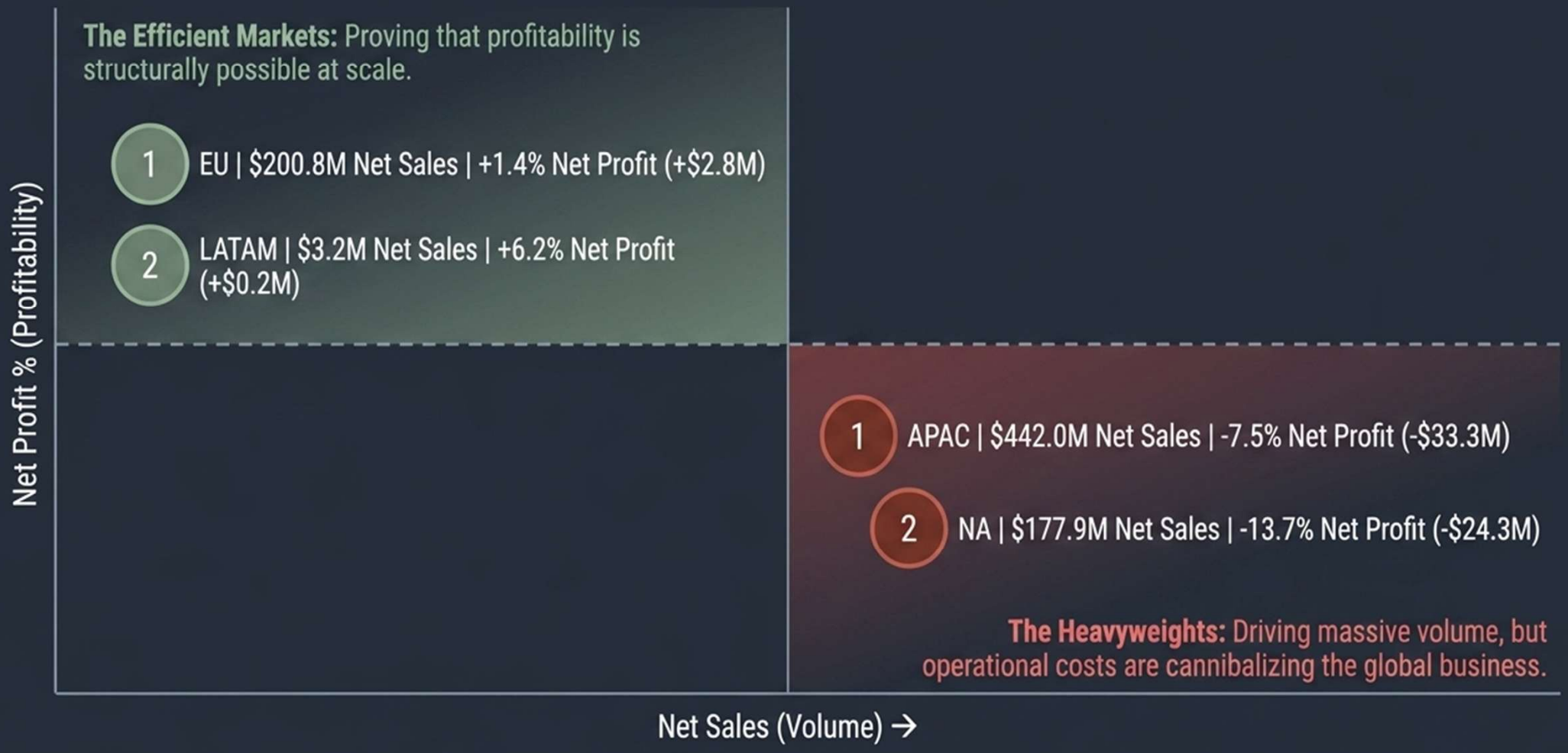
Takeaway: Top-line health is robust. The market clearly wants AtliQ products, and we are maintaining our competitive footprint.

The P&L Waterfall: Where are we losing money?



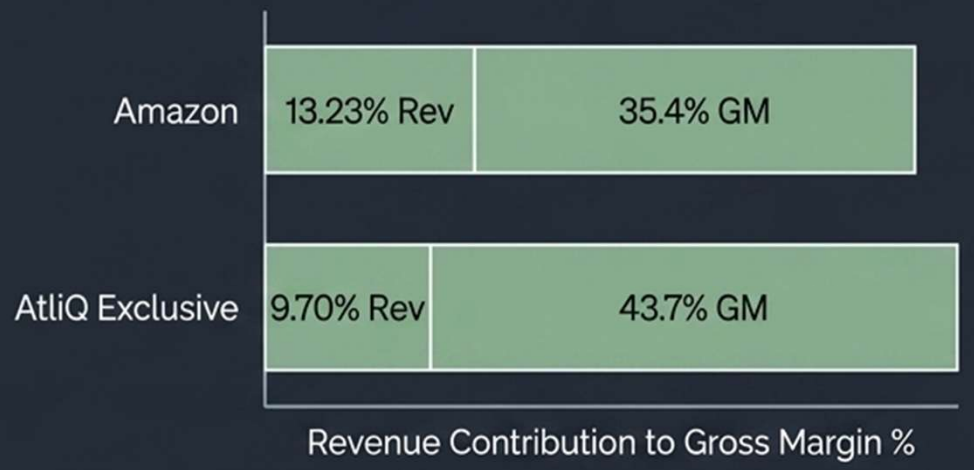
Takeaway: The core business model and COGS are sound, but operational bloat and aggressive sales deductions are structurally unsustainable.

Regional Performance: Volume vs. Viability



Portfolio Dynamics: Who & What Drives the Business

Customer Dependency & Channel Margins



Insight: Our anchor client (Amazon) drives volume, but AtliQ Exclusive yields an 8.3% higher Gross Margin. A massive, untapped profitability lever.

Product Realities & Hidden Losses

Insight: Heavy OpEx allocations are sinking our most successful, high-volume product lines.

Takeaway: Shift sales incentives to prioritize high-margin channels (AtliQ Exclusive) and heavily audit the specific operational expenses tied to the Notebook segment.

Operational Friction: Forecasting & Fulfillment

Center Zone

Out of Stock (OOS)

Missed top-line revenue and retailer friction.

Key Offending Channels:

- Amazon: -2.35% error
- BestBuy: -16.97% error
- Currys: -16.23% error

Impact: Leaving critical top-line money on the table with tier-1 partners.

Global Forecast Accuracy

(Up +9.88% from LY. A strong baseline, but localized errors carry heavy hidden costs.)

Excess Inventory (EI)

Capital tied up in stagnant stock.

Key Offending Channels:

- Argos: +4.14% error
- Chiptec: +22.07% error

Impact: Exacerbating global operational expenses via warehousing and depreciation costs.

Takeaway: While overall forecast accuracy is improving, surgical alignment at the individual retailer level is required to stop revenue leakage and clear bloated inventory.

The Path to Profitability: 2023 Strategic Imperatives

Halt the OpEx Hemorrhage

Mandate an immediate operational audit of the North American (-13.6% margin) and APAC (-7.5% margin) regions.

Action: Force-align NA and APAC cost structures to replicate the profitable EU model.

Channel & Deduction Optimization

Investigate the extreme pre/post-invoice deductions currently eating nearly 50% of gross sales.

Action: Shift sales volume targets toward higher-margin channels like AtliQ Exclusive (43.7% GM) to protect the bottom line.

Surgical Supply Chain Alignment

Address specific Out-of-Stock (OOS) inaccuracies with tier-1 retail partners like Amazon and BestBuy.

Action: Recapture lost top-line revenue without increasing baseline inventory carrying costs in the supply chain.